**JINHONG GAS HOLDING PTE. LTD.**
(Company Registration No. 201706171C)
(Incorporated in the Republic of Singapore)

# AUDITED REVISED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024

T&C PARTNERS
CHARTERED ACCOUNTANTS

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**CORPORATE INFORMATION**
**FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024**

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**Directors**

Chew Mui Tin
Lu Ying
Jin, Xianghua

**Company Secretary**

Yang Yujie

**Registered Office**

26B Serangoon Avenue 1
Singapore 556143

**Independent Auditor**

T&C Partners

Engagement partner: Chor Chung Heong

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**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

## DIRECTORS' STATEMENT

The directors are pleased to present their statement to the member together with the audited revised financial statements of Jinhong Gas Holding Pte. Ltd. (the "Company") for the financial year ended 31 December 2024.

This new directors' statement replaces the original directors' statement signed on 13 June 2025. This new directors' statement and the revised financial statements have been prepared in accordance with Companies (Revision of Defective Revised Financial Statements, or Consolidated Financial Statements or Balance-sheet) Regulations 2018.

The bases for revisions are explained in Note 2 to the revised financial statements. This new directors' statement is taken as having been prepared on the date of the original directors' statement and accordingly, does not consider those events occurring between 14 June 2025 and 21 October 2025.

### 1. OPINION OF THE DIRECTORS

In the opinion of the directors,

(a) the revised financial statements of the Company are drawn up so as to give a true and fair view of the revised financial position of the Company as at 31 December 2024 and the revised financial performance, changes in equity and cash flows of the Company for the financial year covered by the original revised financial statements; and

(b) at the date of the original directors' statement (13 June 2025), there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

### 2. DIRECTORS

The directors of the Company in office at the date of this statement are:

| Directors in office at 13 June 2025 | Movements during the period from 14 June 2025 to 21 October 2025 | | Directors in office at 21 October 2025 |
|---|---|---|---|
| | Appointment | Resignation | |
| Chew Mui Tin | - | - | Chew Mui Tin |
| Lu Ying | - | - | Lu Ying |
| Jin, Xiang Hua | - | - | Jin, Xiang Hua |

### 3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisition of shares in, or debentures of, the Company or any other body corporate.

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**DIRECTORS' STATEMENT (CONT'D)**

## 4. DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register of directors' shareholdings kept by the Company under section 164 of the Singapore Companies Act 1967, the directors of the Company who held office at the end of the financial year had no interests in the shares or debentures of the Company or its related corporations except as stated below:

| Name of director | Shareholdings registered in name of director | | Shareholdings in which a director is deemed to have an interest | |
|---|---|---|---|---|
| | 1/1/2024 | 31/12/2024 | 1/1/2024 | 31/12/2024 |
| ***The Company*** | | | | |
| **(Ordinary shares)** | | | | |
| Jin, Xianghua | - | - | 4,500,000 | 4,500,000 |
| ***Immediate and ultimate holding company*** | | | | |
| **(Ordinary shares)** | | | | |
| **Jinhong Gas Co., Ltd** | | | | |
| Jin, Xianghua | 124,494,413 | 124,577,113 | - | - |

## 5. SHARE OPTIONS

There were no share options granted during the financial year to subscribe for unissued shares of the Company.

There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial year.

## 6. AUDITOR

T&C Partners has expressed its willingness to accept re-appointment as auditor.

On behalf of the Board of Directors

Lu Ying
Director

Jin, Xianghua
Director

Singapore
21 OCT 2025

T&C PARTNERS
CHARTERED ACCOUNTANTS

T&C PARTNERS
111, North Bridge Road #12-05/06 Peninsula Plaza Singapore 179098
Tel +65 64385966
www.tncpartners.com.sg

**INDEPENDENT AUDITOR'S REPORT**
**TO THE MEMBER OF JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

## Report on the Audit of the Revised Financial Statements

*Opinion*

We have audited the revised financial statements of Jinhong Gas Holding Pte. Ltd. (the "Company"), which comprise the statement of financial position of the Company as at 31 December 2024, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the revised financial statements, including material accounting policy information. The revised financial statements replace the original financial statements approved by the directors on 13 June 2025.

In our opinion, the accompanying revised financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the Act) as they have effect under the Companies (Revision Defective Financial Statements, or Consolidated Financial Statements or Balance-Sheet) Regulations 2018 (the Regulations) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view, seen as at the date of the original financial statements, of the financial position of the Company as at 31 December 2024 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

*Basis for Opinion*

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Revised Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the revised financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

*Other Matter – Revisions Made Under the Regulations*

We draw attention to Note 2.1 to these revised financial statements which describes the reasons for and the impacts arising from the revisions to the original financial statements. The original financial statements were approved by the directors on 13 June 2025 and we dated our original auditor's report on the original financial statements on that date.

The revised financial statements have been prepared in accordance with the Regulations and accordingly do not deal with events which have taken place after the date on which the original financial statements were approved. Consequently, our procedures on subsequent event are restricted solely to the revisions described in Note 2.1 to these revised financial statements and we have not performed procedures in relation to events occurring between the date of our original auditor's report and the date of this report.

T&C PARTNERS
CHARTERED ACCOUNTANTS

**INDEPENDENT AUDITOR'S REPORT**
**TO THE MEMBER OF JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

*Other Information*

Management is responsible for the other information. The other information comprises the Directors' Statement but set out on pages 1 to 2.

Our opinion on the revised financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the revised financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the revised financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

*Responsibilities of Management and Directors for the Revised Financial Statements*

Management is responsible for the preparation of revised financial statements that give a true and fair view in accordance with the provisions of the Act as they effect under the Regulations and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair revised financial statements and to maintain accountability of assets.

In preparing the revised financial statements, management is responsible for assessing the Company's ability to continue as a going concern, as made up to the date of the original financial statements, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

*Auditor's Responsibilities for the Audit of the Revised Financial Statements*

Our objectives are to obtain reasonable assurance about whether the revised financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these revised financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

**INDEPENDENT AUDITOR'S REPORT**
**TO THE MEMBER OF JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

*Auditor's Responsibilities for the Audit of the Revised Financial Statements (Cont'd)*

- Identify and assess the risks of material misstatement of the revised financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the revised financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our original auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the revised financial statements, including the disclosures, and whether the revised financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

- Obtained sufficient appropriate audit evidence about whether the revision made under the Regulations are appropriate reflected in these revised financial statements.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

T&C PARTNERS
CHARTERED ACCOUNTANTS

**INDEPENDENT AUDITOR'S REPORT**
**TO THE MEMBER OF JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**Report on Other Legal and Regulatory Requirements**

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

T&C Partners
Public Accountants and
Chartered Accountants

Singapore
21 October 2025

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024**

| | Note | 2024 US$ | (Restated) 2023 US$ |
|---|---|---|---|
| Revenue | (4) | 1,216,960 | 10,387,755 |
| Cost of sales | | (997,546) | (9,262,905) |
| Gross profit | | 219,414 | 1,124,850 |
| Other income | (5) | 277,296 | 1,026,070 |
| Other expenses | | (78,510) | (607,432) |
| Profit before tax | (6) | 418,200 | 1,543,488 |
| Income tax expense | (7) | (24,599) | (147,194) |
| **Profit for the financial year, representing total comprehensive income for the financial year** | | 393,601 | 1,396,294 |

The accompanying notes form an integral part of these revised financial statements.

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**STATEMENT OF FINANCIAL POSITION**
**AS AT 31 DECEMBER 2024**

| | Note | 31/12/2024 US$ | (Restated) 31/12/2023 US$ | 1/1/2023 US$ |
|---|---|---|---|---|
| **ASSETS** | | | | |
| **Non-current assets** | | | | |
| Plant and equipment | (8) | 105,037 | 3,436,538 | 3,616,092 |
| Investment in a subsidiary | (9) | 3,804,422 | 3,804,422 | 3,804,422 |
| | | 3,909,459 | 7,240,960 | 7,420,514 |
| **Current assets** | | | | |
| Trade receivables | (10) | - | 3,540,815 | 1,671,861 |
| Other current assets | (11) | 6,748,040 | 9,594,605 | 297,000 |
| Amount due from a related company | (12) | 3,804,423 | 400,000 | - |
| Cash at bank | (13) | 685,805 | 2,038,729 | 588,806 |
| | | 11,238,268 | 15,574,149 | 2,557,667 |
| **Total assets** | | 15,147,727 | 22,815,109 | 9,978,181 |
| **EQUITY AND LIABILITIES** | | | | |
| **Equity** | | | | |
| Share capital | (14) | 4,500,000 | 4,500,000 | 4,500,000 |
| Retained earnings | | 1,887,266 | 1,493,665 | 97,371 |
| **Equity attributable to owner of the Company** | | 6,387,266 | 5,993,665 | 4,597,371 |
| **Non-current liability** | | | | |
| Deferred tax liabilities | (15) | - | 107,123 | 12,361 |
| **Current liabilities** | | | | |
| Trade payables | (16) | - | 4,222,154 | 1,580,959 |
| Other payables and accruals | (17) | 6,414,288 | 12,317,315 | 3,787,490 |
| Amount due to immediate and ultimate holding company | (18) | 131,635 | 122,420 | - |
| Amount due to a related company | (19) | 2,178,720 | - | - |
| Income tax liabilities | | 35,818 | 52,432 | - |
| | | 8,760,461 | 16,714,321 | 5,368,449 |
| **Total liabilities** | | 8,760,461 | 16,821,444 | 5,380,810 |
| **Total equity and liabilities** | | 15,147,727 | 22,815,109 | 9,978,181 |

The accompanying notes form an integral part of these revised financial statements.

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**STATEMENT OF CHANGES IN EQUITY**
**FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024**

| | Share capital US$ | Retained earnings US$ | Total US$ |
|---|---|---|---|
| At 1 January 2023 | 4,500,000 | 97,371 | 4,597,371 |
| Profit for the financial year, representing total comprehensive income for the financial year | - | 1,425,817 | 1,425,817 |
| Prior year's adjustment (Note 26) | - | (29,523) | (29,523) |
| | - | 1,396,294 | 1,396,294 |
| At 31 December 2023, as restated | 4,500,000 | 1,493,665 | 5,993,665 |
| At 1 January 2024, as restated | 4,500,000 | 1,493,665 | 5,993,665 |
| Profit for the financial year, representing total comprehensive income for the financial year | - | 393,601 | 393,601 |
| At 31 December 2024 | 4,500,000 | 1,887,266 | 6,387,266 |

The accompanying notes form an integral part of these revised financial statements.

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**STATEMENT OF CASH FLOWS**
**FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024**

| | 2024<br>US$ | (Restated)<br>2023<br>US$ |
|---|---|---|
| **CASH FLOWS FROM OPERATING ACTIVITIES** | | |
| Profit before tax | 418,200 | 1,543,488 |
| Adjustments for: | | |
| (Reversal)/Allowance made for expected credit losses | (185,976) | 97,984 |
| Depreciation of plant and equipment | 32,115 | 352,997 |
| Operating profit before working capital changes | 264,339 | 1,994,469 |
| Trade receivables | 3,726,791 | (1,966,938) |
| Other current assets | 2,846,565 | (9,297,605) |
| Trade payables | (4,222,154) | 2,641,195 |
| Other payables and accruals | (5,903,027) | 8,529,825 |
| **Cash (used in)/generated from operations** | (3,287,486) | 1,900,946 |
| Income tax paid | (148,336) | - |
| **Net cash (used in)/generated from operating activities** | (3,435,822) | 1,900,946 |
| **CASH FLOWS FROM INVESTING ACTIVITIES** | | |
| Acquisition of plant and equipment | (3,221,332) | (173,443) |
| Proceeds from disposal of plant and equipment | 6,520,718 | - |
| **Net cash generated from/(used in) investing activities** | 3,299,386 | (173,443) |
| **CASH FLOWS FROM FINANCING ACTIVITIES** | | |
| Amount due from a related company | (3,404,423) | (400,000) |
| Amount due to immediate and ultimate holding company | 9,215 | 122,420 |
| Amount due to a related company | 2,178,720 | - |
| **Net cash used in financing activities** | (1,216,488) | (277,580) |
| **Net (decrease)/increase in cash and cash equivalents** | (1,352,924) | 1,449,923 |
| Cash and cash equivalents at the beginning of the financial year | 2,038,729 | 588,806 |
| **Cash and cash equivalents at the end of the financial year** | 685,805 | 2,038,729 |

Note: Cash and cash equivalents comprise cash at bank.

The accompanying notes form an integral part of these revised financial statements.

**JINHONG GAS HOLDING PTE. LTD.**
(Incorporated in the Republic of Singapore)

**STATEMENT OF CASH FLOWS (CONT'D)**
**FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2024**

**Reconciliation of liabilities arising from financing activities:**

| | (Restated) 1 January 2024 | Financing cash flows | | Non-cash movement | 31 December 2024 |
|---|---|---|---|---|---|
| | | Additions | Repayments | Interest expenses | |
| | US$ | US$ | US$ | US$ | US$ |
| **Liabilities** | | | | | |
| Amount due to immediate and ultimate holding company | 122,420 | 9,215 | - | - | 131,635 |
| Amount due to a related company | - | 2,678,720 | (500,000) | - | 2,178,720 |
| | 122,420 | 2,687,935 | (500,000) | - | 2,310,355 |

| | 1 January 2023 | Financing cash flows | | Non-cash movement | (Restated) 31 December 2023 |
|---|---|---|---|---|---|
| | | Additions | Repayments | Interest expenses | |
| | US$ | US$ | US$ | US$ | US$ |
| **Liability** | | | | | |
| Amount due to immediate and ultimate holding company | - | 122,420 | - | - | 122,420 |

The accompanying notes form an integral part of these revised financial statements.

These notes form an integral part of and should be read in conjunction with the accompanying revised financial statements.

## 1. CORPORATE INFORMATION

Jinhong Gas Holding Pte. Ltd. (the Company) is incorporated and domiciled in Singapore with its registered office and principal place of business at 26B Serangoon Avenue 1, Singapore 556143.

The principal activities of the Company are those of trading and project works relating to gases.

The immediate and ultimate holding company is Jinhong Gas Co., Ltd, which is incorporated in the People's Republic of China.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION

### 2.1 Basis of preparation

These revised financial statements were prepared in accordance with the Companies (Revision of Defective Revised Financial Statements, or Consolidated Financial Statements or Balance-sheet) Regulations 2018, as the directors have voluntarily revised these Financial Statements in accordance with Section 202A of the Companies Act.

These revised financial statements replace the original financial statements that were approved by the directors on 13 June 2025. These revised financial statements were approved by the directors on 21 October 2025.

These revised financial statements are taken as having been prepared on the date of the original financial statements on 13 June 2025 and accordingly, do not consider any events which occurred between 14 June 2025 and 21 October 2025.

These revised financial statements have been revised to reflect the omission of the withholding tax expense and value added tax expense on rental income, which were paid on behalf of the Company by the immediate and ultimate holding company. Prior year's adjustments have been raised to correct the under-statement in withholding tax expense, value added tax expense, amount due to immediate and ultimate holding company and over-statement in income tax liabilities and income tax expense as detailed in Note 26 to the revised financial statements.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.1 Basis of preparation (cont'd)

The impacts of the revision are as follows:

| | 2024 Original US$ | Adjustments US$ | 2024 Revised US$ |
|---|---|---|---|
| **Statement of financial position** | | | |
| Amount due to immediate and ultimate holding company | - | (131,635) | (131,635) |
| Income tax liabilities | (136,871) | 101,053 | (35,818) |
| Retained earnings | (1,917,848) | 30,582 | (1,887,266) |
| **Statement of profit or loss and other comprehensive income** | | | |
| Other expenses | 69,295 | 9,215 | 78,510 |
| Income tax expense | 32,755 | (8,156) | 24,599 |
| Profit for the financial year | 394,660 | (1,059) | 393,601 |
| **Statement of cash flows** | | | |
| Cash flows from financing activities | | | |
| Amount due to immediate and ultimate holding company | - | 9,215 | 9,215 |

The revised financial statements are presented in United States Dollar ("US$"), which is the Company's functional currency.

The revised financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

### 2.2 Adoption of new and amended standards and interpretations

The accounting policies adopted are consistent with those of the previous financial year except that in the current financial year, the Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial period beginning on 1 January 2024. The adoption of these standards did not have any material effect on the revised financial statements of the Company.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.3 Standards issued but not yet effective

A number of new standards and amendments to standard that have been issued are not yet effective and have not been applied in preparing these revised financial statements.

| Description | Effective for annual periods beginning on or after |
|---|---|
| Amendments to FRS 21 *The Effects of Changes in Foreign Exchange Rates:* Lack of Exchangeability | 1 January 2025 |
| Amendments to FRS 109 *Financial Instruments* and FRS 107 *Financial Instrument: Disclosures*: Amendments to the Classification and Measurement of Financial Instruments | 1 January 2026 |
| Annual Improvement to FRSs Volume 11 | 1 January 2026 |
| FRS 118 *Presentation and Disclosure of Financial Statements* | 1 January 2027 |
| FRS 119 *Subsidiaries without Public Accountability: Disclosures* | 1 January 2027 |
| Amendments to FRS 110 *Consolidated Financial Statements* and FRS 28 *Investments in Associates and Joint Ventures*: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture | Date to be determined |

The directors expect that the adoption of these new and amended standards will have no material impact on the revised financial statements in the year on initial application.

### 2.4 Consolidated revised financial statements and holding company

Consolidated revised financial statements have not been prepared to consolidate the financial statements of its subsidiary as the Company is a wholly-owned subsidiary of Jinhong Gas Co., Ltd., which is incorporated in the People's Republic of China, prepares the consolidated revised financial statements. The consolidated revised financial statements can be obtained from No.6 Anmin Road, Panyang Industrial Park Suzhou, Jiangsu Province, the People's Republic of China.

Subsidiary are entities controlled by the Company. Control exists when the Company has the power, directly or indirectly, to govern the financial and operating policies of an entity so as to obtain benefits from its activities.

In the Company's revised financial statements, investment in a subsidiary is carried at cost less accumulated impairment losses, if any.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.5 Foreign currency transactions and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

### 2.6 Revenue

Revenue is measured based on the consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

Revenue is recognised when the Company satisfies a performance obligation by transferring a promised good or service to the customer, which is when the customer obtains control of the good or service. A performance obligation may be satisfied at a point in time or over time. The amount of revenue recognised is the amount allocated to the satisfied performance obligation.

Sale of gases

Revenue from sale of gases is recognised at a point-in-time upon the transfer of significant risks and rewards of ownership, which generally coincides with the time when the goods are delivered to customer and title has passed. Revenue is not recognised to the extent where there are significant uncertainties regarding recovery of the consideration due, associated costs or the possible return of goods.

### 2.7 Taxes

#### (a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted by the end of the reporting period.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.7 Taxes (cont'd)

#### (b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

### 2.8 Plant and equipment

All items of plant and equipment are initially recorded at cost. Subsequent to recognition, plant and equipment are measured at cost less accumulated depreciation and any accumulated impairment losses, if any. The cost of plant and equipment includes its purchase price and any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

Depreciation of an asset commences when the asset is available for use. Depreciation is calculated on a straight-line basis over the estimated useful lives of the asset as follows:

| | **Useful lives** |
|---|---|
| Machinery | 10 years |

No depreciation is charged for machinery work-in-progress.

The residual value, useful lives and depreciation method are reviewed at the end of each reporting period, and adjusted prospectively, if appropriate.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss on de-recognition of the asset is included in profit or loss in the year the asset is derecognised.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.9 Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

**As lessor**

Leases in which the Company does not transfer substantially all the risks and rewards incidental to ownership of an asset are classified as operating leases. Rental income arising from operating leases on the Company's leased assets is accounted for on a straight-line basis over the lease terms. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

### 2.10 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.11 Financial instruments

#### (a) Financial assets

**Initial recognition and measurement**

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Trade receivables are measured at the amount of consideration to which the Company expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third party, if the trade receivables do not contain a significant financing component at initial recognition.

**Subsequent measurement**

*Debt instruments*

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the assets. The three measurement categories for classification of debt instruments are amortised cost, fair value through other comprehensive (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

**Derecognition**

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.11 Financial instruments (cont'd)

#### (b) Financial liabilities

**Initial recognition and measurement**

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

**Subsequent measurement**

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

**Derecognition**

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

### 2.12 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

## 2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

### 2.12 Impairment of financial assets (cont'd)

The Company considers a financial asset in default when contractual payments are 60 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

### 2.13 Cash and cash equivalents

Cash and cash equivalents comprise cash at bank which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

### 2.14 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

### 2.15 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

## 3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's revised financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

### 3.1 Judgements made in applying accounting policies

**Determination of functional currency**

In determining the functional currency of the Company, judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

### 3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the revised financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

#### (a) Provision for expected credit losses of trade receivables

The Company uses a provision matrix to calculate ECLs for trade receivables. The provision rates are based on days past due for groupings of various customers segments that have similar loss patterns.

The provision matrix is initially based on the Company's historical observed default rates. The Company will calibrate the matrix to adjust historical credit loss experience with forward-looking information. At every reporting date, historical default rates are updated and changes in the forward-looking estimates are analysed.

The assessment of the correlation between historical observed default rates, forecast economic conditions and ECLs is a significant estimate. The amount of ECLs is sensitive to changes in circumstances and of forecast economic conditions. The Company's historical credit loss experience and forecast of economic conditions may also not be representative of customers' actual default in the future. The information about the ECLs on the Company's trade receivables is disclosed in Note 22(a).

The carrying amount of the Company's trade receivables as at 31 December 2024 was US$ Nil (2023: US$3,540,815).

## 3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONT'D)

### 3.2 Key sources of estimation uncertainty (cont'd)

#### (b) Income tax

Significant judgement is involved in determining the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

#### (c) Useful lives of plant and equipment

The cost of plant and equipment are depreciated on a straight-line basis over their respective useful lives. Management estimates the useful lives of these plant and equipment to be 10 years.

Changes in the expected level of usage and technological developments could impact the economic useful lives and the residual values of these assets. Therefore, future depreciation charges could be revised and impacts the profit in future years.

The carrying amount of plant and equipment was disclosed in Note 8 to the revised financial statements.

#### (d) Impairment of plant and equipment

The Company follows the guidance of FRS 36 – Impairment of Assets in determining when a non-financial asset is impaired in respect of its plant and equipment. This assessment requires significant judgement. The Company evaluates, among other factors, the duration and extent to which fair value of the asset is less than its cost, and the financial health of and near-term business outlook of the asset, including factors such as industry, sector performance and operational and financing cash flow.

#### (e) Impairment of investment in a subsidiary

The management follows the guidance of FRS 36 – Impairment of Assets, in determining whether investment in a subsidiary is impaired requires assumption to be made regarding the duration and extent to which the fair value of an investment is less than costs and the financial health of and near-term business outlook for the investment, including factors such as industry and sector performance, changes in technology and operational and financing cash flow.

Management's assessment for impairment of investment in a subsidiary is based on the estimation of value in use of the cash generating unit ('CGU") by forecasting the expected future cash flows, using a suitable discount rate in order to calculate the present value of those cash flows.

The carrying amount of the Company's investment in a subsidiary as at 31 December 2024 was disclosed in Note 9 to the revised financial statements.

## 4. REVENUE

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Sale of gases | 1,216,960 | 10,387,755 |
| Timing of transfer of good | | |
| At a point in time | 1,216,960 | 10,387,755 |

## 5. OTHER INCOME

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Foreign exchange gain | - | 8,620 |
| Rental income | 91,320 | 1,017,450 |
| Reversal of allowance made for expected credit losses | 185,976 | - |
| | 277,296 | 1,026,070 |

## 6. PROFIT BEFORE TAX

Profit before tax has been arrived at after charging:

| | 2024<br>US$ | (Restated)<br>2023<br>US$ |
|---|---|---|
| Allowance for expected credit losses | - | 97,984 |
| Depreciation of plant and equipment | 32,115 | 352,997 |
| Director's remuneration | 2,254 | - |
| Foreign exchange loss | 6,340 | - |
| Professional fees | 5,573 | 9,173 |
| Repair and maintenance | 9,675 | - |
| Value added tax | 1,198 | 15,914 |
| Withholding tax | 8,017 | 106,506 |

## 7. INCOME TAX EXPENSE

The major components of income tax expense recognised in profit or loss for the years ended 31 December 2024 and 2023 were:

| | 2024 US$ | (Restated) 2023 US$ |
|---|---|---|
| **Current income tax** | | |
| - Current year | 128,715 | 52,432 |
| - Under-provision in prior year | 3,007 | - |
| **Deferred income tax** | | |
| - Reversal and origination of temporary differences (Note 15) | (107,123) | 94,762 |
| Income tax expense recognised in profit or loss | 24,599 | 147,194 |

**Relationship between tax expense and accounting profit**

A reconciliation between tax expense and the product of accounting profit multiplied by the applicable corporate tax rate for the financial years ended 31 December 2024 and 2023 were as follows:

| | 2024 US$ | (Restated) 2023 US$ |
|---|---|---|
| Profit before tax | 418,200 | 1,543,488 |
| Income tax using the statutory tax rate of 17% | 71,094 | 262,393 |
| Adjustments: | | |
| - Non-deductible expenses | 6,886 | 92,047 |
| - Income not subject to tax | (31,616) | - |
| - Balancing charge | 133,287 | - |
| - Utilisation of capital allowance | - | (168,725) |
| - Tax exemption | (13,023) | (12,990) |
| - Foreign tax credit | (8,017) | (90,473) |
| - Income tax rebate | (29,896) | (29,820) |
| - Reversal and origination of temporary differences | (107,123) | 94,762 |
| - Under-provision in prior year | 3,007 | - |
| Income tax expense recognised in profit or loss | 24,599 | 147,194 |

The Singapore Government has announced that for Year of Assessment (YA) 2025 and 2024, all companies will receive a 50% (2023: 50%) Corporate Income Tax (CIT) Rebate that is subject to a cap of S$40,000.

## 8. PLANT AND EQUIPMENT

| | Machinery US$ | Machinery in progress US$ | Total US$ |
|---|---|---|---|
| Cost | | | |
| At 1 January 2023 | 1,921,382 | 1,758,084 | 3,679,466 |
| Additions | 173,443 | - | 173,443 |
| Reclassifications | 1,758,084 | (1,758,084) | - |
| At 31 December 2023 | 3,852,909 | - | 3,852,909 |
| Additions | - | 3,221,332 | 3,221,332 |
| Reclassifications | 3,116,295 | (3,116,295) | - |
| Disposals | (6,969,204) | - | (6,969,204) |
| At 31 December 2024 | - | 105,037 | 105,037 |
| Accumulated depreciation | | | |
| At 1 January 2023 | 63,374 | - | 63,374 |
| Depreciation charge for the financial year | 352,997 | - | 352,997 |
| At 31 December 2023 | 416,371 | - | 416,371 |
| Depreciation charge for the financial year | 32,115 | - | 32,115 |
| Disposals | (448,486) | - | (448,486) |
| At 31 December 2024 | - | - | - |
| Carrying amount | | | |
| At 31 December 2023 | 3,436,538 | - | 3,436,538 |
| At 31 December 2024 | - | 105,037 | 105,037 |

## 9. INVESTMENT IN A SUBSIDIARY

| | 2024 US$ | 2023 US$ |
|---|---|---|
| Unquoted equity shares, at cost | 3,804,422 | 3,804,422 |

Details of subsidiary are as follows:

| Name of subsidiary | Principal activities | Place of incorporation | Effective equity interest 2024 % | Effective equity interest 2023 % |
|---|---|---|---|---|
| # Jinhong Gas (Jiaxing) Co., Ltd | Manufacturing and sale of equipment of gas, liquids separation, purification and electronic-specific materials | The People's Republic of China | 100 | 100 |

# Not acting as auditor

## 10. TRADE RECEIVABLES

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Trade receivables | - | 3,726,791 |
| Less: Allowance for expected credit losses | - | (185,976) |
| | - | 3,540,815 |

Trade receivables were subject to the expected credit loss model under the financial reporting standard on financial instruments. The methodology applied for impairment loss was the simplified approach to measuring expected credit losses (ECL) which use a lifetime expected loss allowance for all trade receivables. The expected lifetime losses were recognised from initial recognition of these assets. These assets were grouped based on shared credit risk characteristics and the days past due for measuring the expected credit losses.

As part of the process of setting customer credit limits, different credit terms were used. Trade receivables were non-interest bearing and generally on 30-60 days' terms.

The movement in allowance for expected credit losses of trade receivables computed based on lifetime ECL was as follows:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| 1 January | 185,976 | 87,992 |
| (Reversal)/Provision for expected credit losses | (185,976) | 97,984 |
| 31 December | - | 185,976 |

Trade receivables were denominated in following currencies:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| United States Dollar | - | 877,247 |
| Renminbi | - | 2,663,568 |
| | - | 3,540,815 |

## 11. OTHER CURRENT ASSETS

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Advance to supplier - non-trade | 6,748,040 | 9,594,605 |

Advance to supplier is paid for the construction of machinery.

## 12. AMOUNT DUE FROM A RELATED COMPANY

Amount due from a related company is non-trade in nature, unsecured, interest-free and recoverable on demand.

## 13. CASH AT BANK

Cash at bank is denominated in the following currencies:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| United States Dollar | 185,401 | 995,193 |
| Renminbi | 446,245 | 1,043,088 |
| Singapore Dollar | 54,159 | 448 |
| | 685,805 | 2,038,729 |

## 14. SHARE CAPITAL

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Issued and fully paid | | |
| 4,500,000 (2023: 4,500,000) ordinary shares | 4,500,000 | 4,500,000 |

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. The ordinary shares have no par value.

## 15. DEFERRED TAX LIABILITIES

Movements in deferred tax liabilities during the financial year were as follows:

| | At 1 January 2023 US$ | Recognised in profit or loss (Note 7) US$ | At 31 December 2023/ 1 January 2024 US$ | Recognised in profit or loss (Note 7) US$ | At 31 December 2024 US$ |
|---|---|---|---|---|---|
| Differences in depreciation for tax purposes | 12,361 | 94,762 | 107,123 | (107,123) | - |

## 16. TRADE PAYABLES

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Holding company | - | 3,388,184 |
| Third parties | - | 833,970 |
| | - | 4,222,154 |

Trade payables were normally settled on 30-90 days' terms. These amounts were non-interest bearing.

Trade payables were denominated in the following currencies:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| United States Dollar | - | 833,970 |
| Renminbi | - | 3,388,184 |
| | - | 4,222,154 |

## 17. OTHER PAYABLES AND ACCRUALS

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Advance from a related company - non-trade | 6,406,937 | 9,536,658 |
| Accruals | 7,351 | 10,617 |
| Deferred income - non-trade | - | 2,770,040 |
| | 6,414,288 | 12,317,315 |

Deferred income related to the Company's obligation to lease assets to customer for which the Company had received advance from customer for rental of machinery. Deferred income was recognised as rental income on a straight-line basis over the lease term.

During the financial year, the Company sold the lease assets to a related company. Therefore, the advance payment that the company had received from the customer was transferred to the related company.

Advance from a related company is intended for the acquisition of liquid helium tanks.

Other payables and accruals are denominated in the following currencies:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| United States Dollar | 6,406,937 | 9,536,658 |
| Singapore Dollar | 7,351 | 10,617 |
| Renminbi | - | 2,770,040 |
| | 6,414,288 | 12,317,315 |

## 18. AMOUNT DUE TO IMMEDIATE AND ULTIMATE HOLDING COMPANY

Amount due to immediate and ultimate holding company is non-trade in nature, unsecured, interest-free and repayable on demand.

Amount due to immediate and ultimate holding company is denominated in Renminbi.

## 19. AMOUNT DUE TO A RELATED COMPANY

Amount due to a related company is non-trade in nature, unsecured, interest-free and repayable on demand.

## 20. LEASES

Company as a lessor

The Company had entered into operating lease on its plant and equipment consisting of four liquid helium tanks (Note 8). These leases were negotiated for terms of 5 years.

Rental income from plant and equipment was disclosed in Note 5.

The future minimum rental receivable under non-cancellable operating leases contracted for at the reporting period were as follows:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Not later than one year | - | 1,095,840 |
| Later than one year but not later than five years | - | 1,674,200 |
| | - | 2,770,040 |

## 21. SIGNIFICANT RELATED PARTY TRANSACTIONS

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company, if that person:

- (i) has control or joint control over the Company;
- (ii) has significant influence over the Company; or
- (iii) is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

- (i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- (iii) Both entities are joint venture of the same third party;
- (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity;

## 21. SIGNIFICANT RELATED PARTY TRANSACTIONS (CONT'D)

A related party is defined as follows: (cont'd)

(b) An entity is related to the Company if any of the following conditions applies: (cont'd)

(v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
(vi) The entity is controlled or jointly controlled by a person identified in (a);
(vii) A person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of the parent of the entity); and
(viii) The entity, or a member of a group of which it is a part, provides key management personnel services to the Company or to the parent of the Company.

In addition to the related party information disclosed elsewhere in the revised financial statements, the following transactions with related parties took place at terms agreed between the parties during the financial year:

| | 2024<br>US$ | 2023<br>US$ |
|---|---|---|
| Rental income from immediate and ultimate holding company | 91,320 | 1,017,450 |
| Purchases from immediate and ultimate holding company | - | 4,257,181 |
| Proceeds from disposal of plant and equipment from a related company | 6,520,718 | - |
| **Compensation of key management personnel** | | |
| Director's remuneration | 2,254 | - |

## 22. FINANCIAL RISK MANAGEMENT

The Company's activities expose it to a variety of financial risks from its operations. The key financial risks include credit risk, market risk (including interest rate risk and foreign currency risk) and liquidity risk.

The directors review and agree policies and procedures for the management of these risks, which are executed by the management team. It is, and has been throughout the current and previous financial year, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (a) Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from trade receivables and amount due from a related company. For other financial assets (including cast at bank), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be when internal and/or external information indicates that the financial asset is unlikely to be received, which could include default of contractual payments due for more than 60 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- Internal credit rating
- External credit rating
- Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- Actual or expected significant changes in the operating results of the debtor
- Significant increases in credit risk on other financial instruments of the same debtor
- Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the operating results of the debtor.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 30 days past due in making contractual payment.

The Company determined that its financial assets are credit-impaired when:

- There is significant difficulty of the debtor
- A breach of contract, such as a default or past due event
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- There is a disappearance of an active market for that financial asset because of financial difficulty

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (a) Credit risk (cont'd)

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 120 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

The Company's current credit risk grading framework comprises the following categories:

| Category | Definition of category | Basis for recognising expected credit loss (ECL) |
|---|---|---|
| I | Counterparty has a low risk of default and does not have any past-due amounts. | 12-month ECL |
| II | Amount is > 30 days past due or there has been a significant increase in credit risk since initial recognition. | Lifetime ECL - not credit - impaired |
| III | Amount is >60 days past due or there is evidence indicating the asset is credit-impaired (in default). | Lifetime ECL - credit - impaired |
| IV | There is evidence indicating that the debtor is in severe financial difficulty and has no realistic prospect of recovery. | Amount is written off |

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (a) Credit risk (cont'd)

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

| | Note | Category | 12-month or lifetime ECL | Gross carrying amount | Loss allowance | Net carrying amount |
|---|---|---|---|---|---|---|
| | | | | US$ | US$ | US$ |
| **31 December 2024** | | | | | | |
| Amount due from a related company | 12 | I | 12-month ECL | 3,804,423 | - | 3,804,423 |
| **31 December 2023** | | | | | | |
| Trade receivables (Note 1) | 10 | II | Lifetime ECL | 3,726,791 | (185,976) | 3,540,815 |
| Amount due from a related company | 12 | I | 12-month ECL | 400,000 | - | 400,000 |

Trade receivables (Note 1)

For trade receivables, the Company has applied the simplified approach in FRS 109 to measure the loss allowance at lifetime ECL. The Company determines the ECL by using a provision matrix, estimated based on historical credit loss experience based on the past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Accordingly, the credit risk profile of trade receivables is presented based on their past due status in terms of the provision matrix.

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (a) Credit risk (cont'd)

| | | Days past due | | | | |
|---|---|---|---|---|---|---|
| | Not past due | Less than 30 days | 31 to 60 days | 61 to 90 days | More than 90 days | Total |
| | US$ | US$ | US$ | US$ | US$ | US$ |
| **31 December 2023** | | | | | | |
| ECL rates | 0% | 0% | 0% | 0% | 11% | |
| Trade receivables (gross) | 1,322,244 | 74,358 | 467,814 | 166,993 | 1,695,382 | 3,726,791 |
| ECL | - | - | - | - | (185,976) | (185,976) |
| | | | | | | 3,540,815 |

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (a) Credit risk (cont'd)

Exposure to credit risk

The Company has no significant concentration of credit risk. The Company has credit policies and procedures in place to minimise and mitigates its credit risk exposure.

Amount due from a related company

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that there are no ECL.

### (b) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

#### (i) Interest rate risk

The interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates. The Company is not exposure to its interest rates risk arises primarily from cash at bank.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rates on interest bearing financial instrument as the end of the financial year. Accordingly, sensitivity analysis is not disclosed.

#### (ii) Foreign currency risk

The Company's foreign exchange risk result mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk.

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (b) Market risk (cont'd)

#### (ii) Foreign currency risk (cont'd)

The Company has transactional currency exposures arising from trade receivables, cash at bank, trade payables, other payables and accruals and amount due to immediate and ultimate holding company, that are denominated in currencies other than the functional currency, primarily Renminbi ("RMB") and Singapore Dollar ("SGD").

The Company's currency exposures to RMB and SGD at the reporting date were as follows:

| | 2024 | |
|---|---|---|
| | RMB | SGD |
| | US$ | US$ |
| Financial asset | | |
| Cash at bank | 446,245 | 54,159 |
| Financial liabilities | | |
| Other payables and accruals | - | (7,351) |
| Amount due to immediate and ultimate holding company | (131,635) | - |
| | (131,635) | (7,351) |
| Currency exposures | 314,610 | 46,808 |

| | (Restated) 2023 | |
|---|---|---|
| | RMB | SGD |
| | US$ | US$ |
| Financial assets | | |
| Trade receivables | 2,663,568 | - |
| Cash at bank | 1,043,088 | 448 |
| | 3,706,656 | 448 |
| Financial liabilities | | |
| Trade payables | (3,388,184) | - |
| Other payables and accruals | - | (10,617) |
| Amount due to immediate and ultimate holding company | (122,420) | - |
| | (3,510,604) | (10,617) |
| Currency exposures | 196,052 | (10,169) |

A 10% strengthening of United States Dollar against the foreign currencies denominated balances as at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (b) Market risk (cont'd)

#### (ii) Foreign currency risk (cont'd)

| | Profit or loss (after tax) | |
|---|---|---|
| | | (Restated) |
| | 2024 | 2023 |
| | US$ | US$ |
| Renminbi | 26,113 | 16,272 |
| Singapore Dollar | 3,885 | (844) |

A 10% weakening of United States Dollar against the above currencies would have had equal but opposite effect on the above currencies to the amounts shown above, on the basis that all other variables remain constant.

### (c) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligation due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipts cycles. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities. The Company's operations are financed mainly through equity and funds generated from operations. The directors are satisfied that funds are available to finance the operations of the Company.

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations.

## 22. FINANCIAL RISK MANAGEMENT (CONT'D)

### (c) Liquidity risk (cont'd)

| | 2024 | | |
|---|---|---|---|
| | Carrying amount US$ | Contractual cash flows US$ | One year or less US$ |
| Financial assets | | | |
| Amount due from a related company | 3,804,423 | 3,804,423 | 3,804,423 |
| Cash at bank | 685,805 | 685,805 | 685,805 |
| Total undiscounted financial assets | 4,490,228 | 4,490,228 | 4,490,228 |
| Financial liabilities | | | |
| Othe payables and accruals | (7,351) | (7,351) | (7,351) |
| Amount due to immediate and ultimate holding company | (131,635) | (131,635) | (131,635) |
| Amount due to a related company | (2,178,720) | (2,178,720) | (2,178,720) |
| Total undiscounted financial liabilities | (2,317,706) | (2,317,706) | (2,317,706) |
| Total net undiscounted financial assets | 2,172,522 | 2,172,522 | 2,172,522 |

| | (Restated) 2023 | | |
|---|---|---|---|
| | Carrying amount US$ | Contractual cash flows US$ | One year or less US$ |
| Financial assets | | | |
| Trade receivables | 3,540,815 | 3,540,815 | 3,540,815 |
| Amount due from a related company | 400,000 | 400,000 | 400,000 |
| Cash at bank | 2,038,729 | 2,038,729 | 2,038,729 |
| Total undiscounted financial assets | 5,979,544 | 5,979,544 | 5,979,544 |
| Financial liabilities | | | |
| Trade payables | (4,222,154) | (4,222,154) | (4,222,154) |
| Othe payables and accruals | (10,617) | (10,617) | (10,617) |
| Amount due to immediate and ultimate holding company | (122,420) | (122,420) | (122,420) |
| Total undiscounted financial liabilities | (4,355,191) | (4,355,191) | (4,355,191) |
| Total net undiscounted financial assets | 1,624,353 | 1,624,353 | 1,624,353 |

## 23. FINANCIAL INSTRUMENTS BY CATEGORY

At the reporting date, the aggregate carrying amounts of financial assets at amortised cost and financial liabilities at amortised cost were as follows:

| | 2024<br>US$ | (Restated)<br>2023<br>US$ |
|---|---|---|
| **Financial assets measured at amortised cost** | | |
| Trade receivables (Note 10) | - | 3,540,815 |
| Amount due from a related company (Note 12) | 3,804,423 | 400,000 |
| Cash at bank (Note 13) | 685,805 | 2,038,729 |
| Total financial assets measured at amortised cost | 4,490,228 | 5,979,544 |
| **Financial liabilities measured at amortised cost** | | |
| Trade payables (Note 16) | - | 4,222,154 |
| Other payables and accruals (Note 17) | 7,351 | 10,617 |
| Amount due to immediate and ultimate holding company (Note 18) | 131,635 | 122,420 |
| Amount due to a related company (Note 19) | 2,178,720 | - |
| Total financial liabilities measured at amortised cost | 2,317,706 | 4,355,191 |

## 24. FAIR VALUE OF ASSETS AND LIABILITIES

**Assets and liabilities not measured at fair value**

*Cash and cash equivalents, other current assets, amount due from/(to) a related company, other payables and accruals and amount due to immediate and ultimate holding company*

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

*Trade receivables and trade payables*

The carrying amounts of these balances approximate their fair values as they were subject to normal trade credit terms.

## 25. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and net current asset position in order to support its business and maximise shareholder value. The capital structure of the Company comprised issued share capital and retained earnings.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes during the financial years ended 31 December 2024 and 31 December 2023.

## 25. CAPITAL MANAGEMENT (CONT'D)

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including trade payables, other payables and accruals, amount due to immediate and ultimate holding company and amount due to a related company) less cash and cash equivalents. Total capital is calculated as total equity as shown in the statement of financial position, plus net debts.

The gearing ratios at financial year ended 31 December 2024 and 2023 were as follows:

| | 2024<br>US$ | (Restated)<br>2023<br>US$ |
|---|---|---|
| Net debt | 8,038,838 | 14,623,160 |
| Total equity | 6,387,266 | 5,993,665 |
| Total capital | 14,426,104 | 20,616,825 |
| Gearing ratio | 0.56 | 0.71 |

The Company is not subject to any externally imposed capital requirements.

The Company's overall strategy remains consistent with last financial year.

## 26. PRIOR YEAR'S ADJUSTMENTS

Prior year's adjustments have been raised to correct the under-statement in withholding tax expense, value added tax expense, amount due to immediate and ultimate holding company and over-statement in income tax liabilities and income tax expense. The impact of the prior year's adjustment on the various accounting captions of the Company are as follow:

| | As previously reported<br>US$ | Impact on prior year's adjustment<br>US$ | As restated<br>US$ |
|---|---|---|---|
| **31/12/2023** | | | |
| *Statement of financial position* | | | |
| Amount due to immediate and ultimate holding company | - | (122,420) | (122,420) |
| Income tax liabilities | (145,329) | 92,897 | (52,432) |
| Retained earnings | (1,523,188) | 29,523 | (1,493,665) |
| *Statement of profit or loss and comprehensive income* | | | |
| Other expenses | 485,012 | 122,420 | 607,432 |
| Income tax expense | 240,091 | (92,897) | 147,194 |
| Profit for the financial year | 1,425,817 | (29,523) | 1,396,294 |

## 27. AUTHORISATION OF REVISED FINANCIAL STATEMENTS FOR ISSUE

The revised financial statements for the financial year ended 31 December 2024 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on 21 October 2025.